IN THE HIGH COURT OF JUSTICE

BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES

BUSINESS LIST (ChD)

Claim No: BL-2020-002063

B E T W E E N

NICHOLAS STOOP

T/A WARWICK RISK MANAGEMENT — Claimant

And

NICOLA JOHNSON — Defendant

RE-AMENDED DEFENCE

Re-amended by agreement dated 29 March 2022, pursuant to r17.1(2)(a), and by order of the Court dated 30 March 2022

1. In briefest summary, and set out more particularly below:

1.1. The Contract relied upon by the Claimant is unenforceable.

1.1.1. Damages-Based Agreements are unenforceable if they relate to family proceedings. The Claimant's original case was that the agreement was (inter alia) to compensate him for years of work provided during the Defendant's divorce. If that is true (and the Claimant signed a statement of truth to that effect), the Contract is unenforceable.

1.1.2. Further, the Contract fails to comply with the Damages-Based Agreements Regulations 2013. It is therefore, by operation of s58AA(2) Courts and Legal Services Act 1990, unenforceable.

1.1.3. Alternatively, the Contract is champertous. It is unenforceable as a matter of public policy.

1.2. In any event, even if the Contract were enforceable, the Success Fee has not been triggered. The Claimant was not the effective cause of the settlement with Barclays. His approach was unhelpful. His main alleged work product – a letter which he says he redrafted over 50 times – was never sent. The Barclays matter was eventually concluded using a different team and a different approach, without any involvement from the Claimant.

1.3. The remainder of this Re-Amended Defence is pleaded without prejudice to the contention that the Claim Form and Re-Amended Particulars of Claim should be struck out, and/or that the Defendant should be granted summary judgment.

2. Paragraph numbers below refer to the Re-Amended Particulars of Claim (headed Substituted Particulars of Claim). For convenience only, this statement of case adopts some of the abbreviations and headings used in that statement of case.

3. While the Defendant refers below to legal advice which she received in respect of the potential claim against Barclays, and intends to rely on documents proving such advice, she does not waive privilege more generally.

4. Save as is hereinafter expressly admitted or expressed to be not admitted, each and every allegation of fact contained within the Re-Amended Particulars of Claim is denied. Where an allegation is said to be "not admitted", the Defendant is unable to admit or deny, and the Claimant is required to prove, that allegation at trial, such matters being outside the knowledge of the Defendant.

Introduction and background

5. By way of background:

5.1. The Claimant and Defendant were boyfriend and girlfriend between about October 2009 and August 2019. They met during acrimonious divorce proceedings between the Defendant and Ziad Takieddine.

5.2. At the beginning of their relationship, the Claimant had been unemployed for several years and was in debt. Between July 2010 and October 2017, the Defendant let the Claimant live at Warwick House rent free, with no contribution towards utility or council tax bills, and with the Defendant doing or paying for all of the Claimant's groceries, cooking, cleaning, holidays, and laundry. From about 2014, she also let the Claimant use (for free) 60 sq m of office space in Warwick House, where he set up his claims management business, with a prestigious address and meeting-space for clients,

and room for his son to work also. She also gave the Claimant money when he needed, totalling at least £93,000. This does not include a loan of £60,000 extended to the Claimant by the Defendant's father in 2015, when he (the Claimant) was being sued by his sister to recover an unpaid debt.

5.3. In the course of their relationship, the Claimant (offering the Defendant support and advice as her boyfriend) said that he believed that the Defendant had a valuable claim against Barclays. However, the Defendant's legal advisors considered that the legal case against Barclays was weak, and had only nuisance and embarrassment value.

6. Paragraph 1 is admitted.

7. As to paragraph 2:

7.1. It is admitted that on 4 May 2018 the Defendant signed the Contract dated 9 April 2018.

7.2. The Contract is unenforceable. Further:

7.2.1. The Contract is a Damages-Based Agreement (**DBA**), being an agreement between a person providing claims management services and the recipient of those services, which provides that the recipient is to make a payment to the person providing the services if the recipient obtains a specified financial benefit in connection with the matter in relation to which the services are provided, and the amount of that payment is to be determined by reference to the amount of the financial benefit obtained (s58AA(3) Courts and Legal Services Act 1990).

7.2.2. s58AA(1) and (2) provide that DBAs are enforceable if (and only if) they satisfy the conditions in subsection 4.

7.2.3. s58AA(4)(aa) provides that DBAs must not relate to proceedings which, by virtue of section 58A(1) and (2), cannot be the subject of an enforceable conditional fee agreement. Section 58A(1)(b) and s58A(2) provide that family proceedings cannot be the subject of an enforceable conditional fee agreement. Therefore, DBAs must not relate to family proceedings.

7.2.4. Paragraph 8 of the original Particulars of Claim alleged that the Claimant "*devoted his full-time working hours to assisting the Defendant in her divorce and the related litigation*". Paragraph 24 of the original Particulars of Claim pleaded that "*the function of these contractual terms [of the Contract] was to provide an incentive for the Claimant to work*

diligently until a settlement was obtained and to compensate him for the years of work and assistance provided both during and after the Defendant's divorce". If that is true (and the Claimant signed a statement of truth to that effect, and it is consistent with the Claimant's position in contemporaneous correspondence), the purported DBA relates to family proceedings. Accordingly, it is unenforceable.

7.2.5. Further, s58AA(4)(c) provides that DBAs must comply with such other requirements as to its terms and conditions as are prescribed. Regulation 3 Damages-Based Agreements Regulations 2013 contains the requirements as to the terms and conditions of all DBAs. Reg 3(c) provides that the DBA must specify "*the reason for setting the amount of the payment at the level agreed*". The Contract does not specify a reason for setting the amount of the Success Fee at 50%. The Contract therefore does not comply with the prescribed requirements as to its terms and conditions, and it is therefore unenforceable. (This is not some immaterial oversight: the Contract would have been unenforceable if it <u>had</u> included the reason in the terms set out in paragraph 24 of the original Particulars of Claim, for the reasons given in the subparagraphs above.)

7.3. Further or alternatively, the Contract is champertous (or savours of champerty). It expressly provides for the Claimant to support (indeed, to control) the Defendant's litigation in return for a share of the proceeds. It is unenforceable for that reason also.

7.4. If (which is denied) the Contract is enforceable:

7.4.1. At the time of the Contract, the Claimant was acting in the course of his business. He was a "trader", and the Defendant was a "consumer", for the purposes of Consumer Rights Act 2015.

7.4.2. The Claimant's only remuneration would have been through the Success Fee, as is clear from the words (under the subheading "3. Fees"): "*no fee will be payable apart from the Success Fee*".

7.4.3. The "Success Fee" was stated to be "*50% of any compensation realised* ***pursuant to*** *the Assignment, monetary or otherwise, howsoever obtained.*" [emphasis added.]

7.4.4. As stated earlier in the Contract, "*The Assignment comprises consultancy work and claims management services with reference to the Mortgages. The objective of the Assignment is to secure compensation in respect of the Mortgages.*"

7.4.5. If the Defendant were to realise compensation other than pursuant to the Assignment – that is, other than as a result of the Claimant's consultancy work and claims management services – no Success Fee would be payable.

7.4.6. Therefore, on a true construction of the Contract, the Success Fee would only be payable if the Claimant's work was an effective cause of the compensation.

7.4.7. The words "*howsoever obtained*" have the effect of ensuring that the Claimant would be paid if his work led to compensation being obtained (for example) by way of judgment, mediation, or compromise – but those words cannot include compensation obtained other than "pursuant to the Assignment" (i.e. other than as a result of his consultancy work and claims management services).

7.4.8. Further, if the Court considers the term is ambiguous, the Defendant's construction must be preferred, in accordance with s69(1) Consumer Rights Act 2015.

7.4.9. Further, if (which is denied) there is a term providing for the Success Fee to be payable even if compensation is secured by the Defendant after the termination of the Contract, with no requirement that the Claimant's work be an effective cause of the compensation, then that term is unfair, and not binding on the Defendant by virtue of s62 Consumer Rights Act 2015. Such a term would cause a significant imbalance in the parties' rights and obligations under the contract, to the detriment of the consumer, contrary to the requirement of good faith. The Defendant will rely inter alia on section 63(1), and paragraph 18 of Part 1 of Schedule 2, which provide that "*A term which has the object or effect of obliging the consumer to fulfil all of the consumer's obligations where the trader does not perform the trader's obligations*" may be regarded as unfair. On the Claimant's construction, the term would have the object or effect of making him entitled to a Success Fee whether or not he carried out work. That would be unfair.

7.5. Paragraph 2 is otherwise admitted. The Defendant will refer to the Contract at trial for its full terms and purported effect.

8. As to paragraph 3, it is admitted that the Claimant did some work relating to the Assignment. It is denied that such work was of any benefit to the Defendant. It is further denied that the Claimant was the effective cause of the eventual settlement with Barclays.

8.1. As to paragraph 3(1), the Defendant is unable to admit or deny whether the Claimant truly contemporaneously formulated such a three-stage “strategy”. If so, the Defendant was not consulted or informed.

8.2. Paragraph 3(2) is admitted, save that it is denied (if so alleged) that Harry Farrell was engaged specifically for the Assignment. Henry Farrell had been working with the Claimant since at least the beginning 2017.

8.3. As to paragraph 3(3):

8.3.1. It is denied that the Claimant obtained evidence from the French criminal prosecution. The Defendant obtained this evidence, not the Claimant.

8.3.2. It is denied that the Claimant translated such evidence. The Claimant’s French language skills were inadequate to such a task.

8.3.3. The existence of evidence containing allegations about the individuals listed in paragraph 3(3) is not admitted.

8.4. As to paragraph 3(4):

8.4.1. It is admitted that the Claimant liaised with Simon Farrell QC. The Defendant did not meet Ellis Sareen or David McIlroy, and the Claimant’s contact with them is not admitted.

8.4.2. It is admitted that the Claimant liaised with Peter Levaggi and Joe Edwards.

8.4.3. The Defendant had no dealings with Fred Satow, and the Claimant’s contact with him is not admitted.

8.4.4. The Defendant, not the Claimant, instructed and paid the French lawyers Joseph Breham and Guillaume Debonnet. They did not ask for or need the Claimant’s input, and to the best of the Defendant’s knowledge they had no input into the Claimant's work on the case against Barclays.

8.4.5. The Defendant, not the Claimant, instructed and paid the French lawyer William Bourdon. He did not ask for or need the Claimant’s input, and to the best of the Defendant’s knowledge he had no input into the case against Barclays. The Defendant has no knowledge of the Claimant liaising with FIDH, and such allegation is not admitted.

8.4.6. The journalist Fabrice Arfi and police officer Herve Barre were the Defendant's contacts, not the Claimant's. To the best of the Defendant's knowledge, they had no input into the Claimant's work on the case against Barclays, and the only contact the Claimant had with those individuals was when he accompanied the Defendant to meetings as her boyfriend.

8.5. Paragraph 3(5) is not admitted. The Defendant did not instruct CRS or Mr Farrell QC and did not enter into a CFA with either of them.

8.6. Paragraph 3(6) is not admitted. The Defendant did not specifically agree to CRS or Mr Farrell QC carrying out work, and does not know what (if any) agreement the Claimant entered into with them.

8.7. As to paragraph 3(7), it is admitted that the Claimant was involved in the preparation of an incomplete 27 page working draft of a letter alleging an unlawful means conspiracy between Barclays and Mr Takieddine. The Claimant has previously alleged re-drafting the letter over 50 times. The draft was never sent. The remainder of paragraph 3(7) is not admitted.

8.8. Paragraph 3(8) is denied. The Claimant made no such suggestion, for the reasons given or at all.

8.9. Paragraph 3(9) is denied. The Defendant drafted the letter to send to her MP, with the help of Heather Buchanan from the All Party Parliamentary Group on Fair Business Banking. The Claimant had no material input into the letter that was sent.

8.10. Paragraph 3(10) is admitted, save that:

8.10.1. It is denied that the French Account was opened in 2006 to fund the Defendant's divorce proceedings. The Defendant opened the French Account in 2006, and deposited in that account €5,000 from the sale of jewellery, as emergency funds. She closed the account soon after. The existence of the bank account did not change the merits of the Defendant's case in any material way.

8.10.2. The Claimant (not the Defendant) sent a Data Subject Access Request to Banque Milleis. This was done despite the Defendant's disagreement with the idea.

8.10.3. In any event, the actions above did not show that Banque Milleis "*knew that the Defendant was getting divorced prior to making the loans to Mr Takieddine*" as alleged. The actions had no relevant effect at all. The Bank's response stated that it was not in possession of the requested documents.

9. Paragraph 4 is admitted, save that it was not a formal 'meeting', as the Claimant and Defendant were (until then) boyfriend and girlfriend. They argued at the Defendant's home on 8 August 2019. The Defendant accused the Claimant of trying to extract money from her divorce settlement. She said (as she had said before) that his demand for 50% of any settlement was unreasonable and extortionate. The Defendant ended the relationship that night.

10. Paragraph 5 is admitted (without prejudice to the contention that the Contract was unenforceable). There had been no retainer with CRS.

11. As to paragraphs 6 and 7, it is admitted that the Defendant entered into a settlement agreement with Barclays Bank Plc on 3 June 2020. The remainder of those paragraphs are denied, save as consistent with the following:

    11.1. Barclays had a charge over Warwick House, securing a £6,000,000 debt owed by a third party (Warwick Estates Limited) together with interest and costs. The Defendant understands that the £6,000,000 principal was used to repay an earlier loan secured with a first charge over Warwick House. The Defendant was not party to the Barclays loan or the earlier loan, and was not a shareholder or director of (and had no control over) Warwick Estates Limited.

    11.2. Barclays was, as mortgagee, entitled to take possession of Warwick House and to sell it, retaining from the sale proceeds its £6,000,000, plus interest, plus the legal costs of possession and sale.

    11.3. The Defendant was told by Dentons (for Barclays) in a letter dated 11 December 2018 that "*the amount currently owing to the Bank is in the region of £7.1m*". She was never given a detailed redemption statement.

    11.4. Under orders made in the Family Division on 16.9.16 and 27.11.17, the Defendant had conduct of the sale of Warwick House. Distribution of the proceeds of sale was specified in those orders. In briefest summary, without prejudice to the detail in those orders:

        11.4.1. The sum payable under Barclays' mortgage was to be paid first.

        11.4.2. The costs of sale were to be paid next.

        11.4.3. Of the remainder:

            11.4.3.1. Half was to be paid to the Defendant.

11.4.3.2. The other half was nominally for the Defendant's former husband. However, it was to be used towards satisfaction of various obligations which the Defendant's former husband owed to the Defendant, in an order of priority directed by the Court. Costs orders totalling nearly £2m were towards the top of the priority list. Further down was a "Prestation Compensatoire" award made in the French matrimonial court, totalling over £3.5m (including interest) on 27.11.17. In the event, the Defendant's former husband's nominal share was far from sufficient to satisfy these obligations.

11.5. The settlement agreement with Barclays did not and could not affect the way in which the remainder (after Barclays' share) was to be distributed. The settlement agreement did, however, affect the balance available for distribution.

11.6. By the settlement agreement, Barclays agreed to release the charge over Warwick House upon completion, upon payment to it of £6,000,000.

11.7. If the settlement agreement had not been reached, Barclays would have obtained possession of Warwick House, sold it, and retained (approximately) £7,100,000 to satisfy its mortgage debt plus (approximately) £20,000 as its legal costs of possession and sale.

11.8. The sale price was £12,000,000.

11.9. With <u>no settlement agreement</u>, the balance after Barclays' loan would have been:

£12,000,000.00

- £7,100,000.00 (approximately): Barclays' loan plus interest

- £20,000.00 (approximately): costs of possession and sale

= £4,880,000.00 balance

<u>Because of the settlement agreement</u>, the balance after payment to Barclays was:

£12,000,000.00

- £6,000,000.00 to Barclays

- £174,528.38 D's actual costs of negotiations and sale

- £22,872.00 Barclays' actual costs of sale

= £5,802,599.62 balance

11.10. The balance was therefore approximately £922,599.62 higher as a result of the settlement agreement. That is the value of the Barclays settlement agreement.

11.11. The Defendant was not a party to the London Mortgage or the Paris Mortgage. The Defendant does not know what sums are outstanding in respect of either mortgage. As set out above, Barclays released its security over Warwick House and has received £6,000,000. The Defendant does not know how much debt is still owed by the borrower (Warwick Estates Limited) to Barclays.

12. Paragraph 8 is denied. The Defendant has not in fact reached a separate settlement in respect of the Paris Mortgage; nor has the Defendant sought one; nor does the Defendant intend to seek one. The only agreement reached was the one described above.

13. Paragraphs 9 to 12 are denied:

13.1. The Contract is unenforceable, as set out in paragraph 7.2 and 7.3 above.

13.2. Alternatively, the Claimant was required to be, but was not, the effective cause of the settlement with Barclays, as set out in paragraphs 7.4 and 14 herein, and so the Success Fee is not due.

13.3. In any event, there was no Paris Compensation.

14. Paragraph 13 is denied. The Claimant was not the effective cause of any settlement. Further:

14.1. Paragraph 13(1) is denied. The Claimant had made no progress. The settlement agreement with Barclays was reached only after and because the Defendant terminated the Contract with the Claimant, changed team (appointing Withers and John Wardell QC for the negotiations), and changed approach.

14.2. Paragraph 13(2) is denied.

14.2.1. A "long letter of claim" was never sent to Barclays or Dentons, as alleged in paragraph 13(2). Nor was any letter based substantially on the draft referred to in paragraph 8.7 above. In reality, on 16 July 2018 CRS sent Barclays a 1.5 page letter. That letter bore no

resemblance to the 27 page working draft on which the Claimant worked, attached no supporting evidence, and did not allege an unlawful means conspiracy.

14.2.2. Further and in any event, the alleged inference is denied. The Bank's response (sent by Dentons on 30 August 2018) stated that the various assertions were completely unsupported, and refused to negotiate along the lines suggested by CRS.

14.3. Paragraph 13(3) is admitted, save that it is denied that there are any grounds to infer that Barclays became "more willing to negotiate a settlement" as a result of the communication of the offer to Barclays.

14.4. Paragraph 13(4) is denied, save as consistent with the following:

14.4.1. In about late 2018, Heather Buchanan of the All Party Parliamentary Group on Fair Business Banking (the APPG) advised the Defendant to write to her MP.

14.4.2. By early 2019, the Defendant had lost faith in the Claimant. She sought independent advice from a barrister, Simon Reevell, whose advice (like CRS's and Mr Farrell QC's) was that her claim was weak. The Defendant decided that threatening legal action against Barclays was a bad idea, and sought a more consensual way forward.

14.4.3. In that context, on 20 March 2019, the Defendant wrote to Emma Dent-Coad MP. The Claimant had no material input into the letter sent to the Defendant's MP. The email to the Defendant's MP was forwarded to Barclays, who became more willing to engage with the Defendant.

14.4.4. The Claimant (without the Defendant's permission) interfered with the Defendant's correspondence with the APPG by sending an aggressive and unhelpful letter dated 24 October 2019.

14.5. As to paragraph 13(5), paragraph 8.10 above is repeated. There are no grounds to draw the alleged inference.

14.6. As to paragraph 13(6), paragraph 8 above is repeated.

14.7. Paragraph 13(7) above is denied. The settlement agreement only came about as a result of the Defendant's use of a different team with a different approach from that of the Claimant, without any involvement from the Claimant. The Defendant will provide further information if ordered to do so.

15. As to paragraph 14, the Claimant's entitlement to interest is denied.

LAURIE SCHER

I believe that the facts stated in this Re-Amended Defence are true. I understand that proceedings for contempt of court may be brought against anyone who makes, or causes to be made, a full statement in a document verified by a statement of truth without an honest belief in its truth.

N Johnson

Dated 3 May 2022

Nicola Johnson

Defendant

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